

The Mast Was Tied on Friday

Both lines drawn before the reopen gave way on Monday. This note is about carrying out a decision already made.

THE READING

The weekend's news reached prices on Monday. WTI settled at \$96.31, up 4.22%, and Brent at \$108.50, after President Trump rejected Iran's seven-day Hormuz proposal. The 10-year closed at 5.24%, its highest since 2007, and the 30-year at 5.56%, its highest since 2004. The S&P 500 fell 0.77% to 7,683.69, and more than 65% of US issues declined.

The emotion is not fear. The VIX rose 8% to 16.07, still inside its 14.32 to 17.80 range. It reads more like disappointment: Friday's relief was withdrawn and repriced in a single, orderly session. The two lines Friday's rally could not afford to lose, WTI back above Thursday's \$94.61 settle and a 10-year through 5.21%, both went.

WHAT WISDOM WOULD SAY

Jon Elster's *Ulysses and the Sirens* (1979) reads Homer's scene as a study in precommitment. Ulysses knows his later self will want to steer for the rocks, so he has himself bound to the mast and tells the crew to tie him tighter if he begs. The rational act happens before the temptation. Its whole value lies in not being renegotiated afterwards.

Most investment processes contain a version of this. A level is written down in calm conditions: if this breaks, cut; if that holds, add. Writing the rule is rarely the hard part. The hard part is that the moment a rule is triggered is exactly when the case for suspending it sounds strongest.

This morning that case is available. Qatar-mediated talks may resume. 5.24% may be the high. Monday was one session. Each may be true. None was unknown on Friday, when the lines were drawn. Elster's point is that the self who drew them had the better view, because it could not yet hear the song. Keeping the rope on is not a claim that the rule is perfect. It is a refusal to let the moment of greatest pressure also be the moment of revision.

THE RISK IT JUSTIFIES

In practice this argues for carrying out whatever trims or hedges were written down before the reopen, at today's prices, rather than waiting for a kinder print. It argues against adding index exposure at 7,683, inside a 7,550 to 7,765 range that Hedgeye scores at roughly eight units of downside for each unit of upside. It argues against adding duration on the belief that 5.24% is the top. Size stays where the plan left it; new risk waits.

Three events this week could change the answer, and the lines for them should be written now rather than improvised later: August PCE on Wednesday, with core expected near 3.2%; Micron after the same close; and Friday's payrolls, with consensus near 100k. A 10-year back below Friday's 5.167% close, together with WTI under its \$92.41 settle, would restore the case Friday made. A close below the negative-gamma trigger near 7,658 would argue for cutting further.

*If you moved a line this morning, which of your two selves
was holding the pen?*